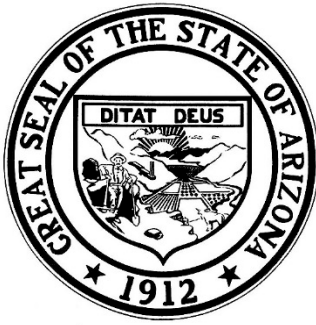




Bill Number: H.B. 2696

Shope Floor Amendment

**Reference to: NATURAL RESOURCES
Committee amendment**

Amendment drafted by: Leg. Council

FLOOR AMENDMENT EXPLANATION

1. Allows, rather than requires, the Arizona Commerce Authority (ACA) to use available resources to improve motor fuel and gasoline resilience, rather than fuel and gas prices, in Arizona.
2. Requires the ACA to consider the improvement of motor fuel and gasoline resilience as one of its objectives.
3. Removes the requirement that the ACA consider the reduction of fuel and gas prices as its primary objective.
4. Allows, rather than requires, the ACA to use any existing program or incentive to advance the objective.
5. Extends the date for the repeal of the ACA fuel and gas resilience requirements from January 1, 2030, to January 1, 2031.
6. Requires the ACA to collaborate with members of the Fuel Resiliency Task Force (Task Force), rather than oil and gas industry, to study and develop recommendations on:
 - a) the process for the revising the state implantation plan for 2015 national ambient air quality standards for the Phoenix-Mesa non-attainment area cleaner burning gasoline blend program and the potential impact on gas prices, motor fuel supplies and air quality in Arizona by revising the state implementation plan;
 - b) the construction of additional refineries and storage capacities in Arizona to support the stability and resiliency of the fuel supply of Arizona; and
 - c) the availability of potential alternative lower-production-cost fuel blends that could be sold in Arizona and the potential states or producers that could supply the alternative fuel.
7. Removes the requirements that the ACA study:
 - a) the impact of and process for the repeal of Arizona's cleaner burning gasoline blend, including an evaluation of potential alternative lower cost blends;
 - b) the construction of additional refined products pipelines in Arizona and establishment of a strategic oil and gas reserve in Arizona; and
 - c) the opportunity to construct one or more potential refineries in Arizona, including restarting and reevaluating, a proposed oil refinery in Yuma County.
8. Extends the prescribed ACA reporting deadline from October 1, 2026, to September 30, 2029.

Amendment explanation prepared by Nicholas Gustoff

06/08/2026

9. Requires the prescribed report to contain
 - a) the minutes of the fuel resiliency Task Force meetings;
 - b) the names, titles and employers of each federal official and member of the oil and gas industry that the Task Force consulted with in developing the recommendations and the nature and extent of the consultation;
 - c) recommendations for action on each outlined item that the ACA and Task Force must study and develop recommendations on for including recommendations for executive action, legislative action and private sector action; and
 - d) a description of the areas of agreement or disagreement of the recommendations between individuals with whom the ACA consulted.
10. Modifies the membership of the Task Force by removing and adding members.
11. Requires the Chief Executive Officer of the ACA, or the Chief Executive Officer's designee, to serve as the chairperson of the Task Force.
12. Requires the ACA, rather than the Task Force, to keep minutes of each meeting of the Task Force.
13. Removes specified meeting requirements for the Task Force, as outlined.
14. Requires the Task Force to study and develop recommendations of the items related to the outlined study and recommendations.
15. Requires the Task Force to convene with federal officials, members of the oil and gas industry in the United States, subject matter experts as determined by the Task Force and:
 - a) refinery operators;
 - b) the state energy offices in other states within petroleum administrative defense districts three, four and five;
 - c) the Texas Oil and Gas Association;
 - d) the New Mexico Oil and Gas Association;
 - e) the Utah Petroleum Association;
 - f) the Colorado Petroleum Association;
 - g) the Permian Basin Petroleum Association;
 - h) the American Fuel and Petrochemical Manufacturers;
 - i) the Navajo Nation Oil and Gas Company; and
 - j) the National Tribal Energy Association.
16. Specifies that the Task Force, by September 30, 2029, collaborate with the ACA to submit a report of the Task Force's findings and recommendations.
17. Extends the repeal date of the Task Force from January 1, 2029, to January 1, 2031.
18. Makes conforming changes.

SHOPE FLOOR AMENDMENT
SENATE AMENDMENTS TO H.B. 2696
(Reference to NATURAL RESOURCES Committee amendment)

Amendment instruction key:

[GREEN UPPERCASE UNDERLINING IN BRACKETS] indicates that the amendment is adding text to statute or previously enacted session law.
[Green lowercase underlining in brackets] indicates that the amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~[GREEN UPPERCASE STRIKEOUT IN BRACKETS]~~ indicates that the amendment is removing new text from statute or previously enacted session law.
~~[Green lowercase strikeout in brackets]~~ indicates that the amendment is removing text from existing statute, previously enacted session law or new session law.
<<Double green carets enclosing an entire section>> indicates that the amendment is adding the section to the bill.
~~<<Green strikeout with double green carets enclosing an entire section>>~~ indicates that the amendment is removing the section to the bill.
{ORANGE UPPERCASE UNDERLINING IN DOUBLE CURLY BRACKETS} indicates that the amendment to an amendment is adding text to statute or previously enacted session law.
{Orange lowercase underlining in double curly brackets} indicates that the amendment to an amendment is adding text to new session law or is restoring previously stricken text to existing statute.
~~{ORANGE UPPERCASE STRIKEOUT IN DOUBLE CURLY BRACKETS}~~ indicates that the amendment to an amendment is removing new text from statute or previously enacted session law.
~~{Orange lowercase strikeout in double curly brackets}~~ indicates that the amendment to an amendment is removing text from existing statute, previously enacted session law or new session law.
>>Double orange underlined carets enclosing an entire section>> indicate that the amendment to an amendment is adding the section to the bill.
~~>>Orange strikeout with double orange underlined carets enclosing an entire section>>~~ indicates that the amendment to an amendment is removing the section from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 Section 1. Arizona commerce authority; fuel and gas
3 resilience; delayed repeal

4 A. Notwithstanding any other law, the Arizona commerce authority
5 ~~{shall}~~ {may} use ~~{all}~~ available resources to ~~{reduce fuel and gas~~
6 ~~prices}~~ {improve motor fuel and gasoline resilience} in this
7 state. The Arizona commerce authority shall consider the ~~{reduction of~~
8 ~~fuel and gas prices}~~ {improvement of motor fuel and gasoline
9 resilience} in this state as [one of] its ~~{primary}~~ [objective]
10 [objectives] and ~~{shall prioritize the}~~ {may} use ~~{of}~~ any existing
11 program or incentive to advance the objective ~~{and reduce fuel and gas~~
12 ~~prices in this state}~~.
13 B. This section is repealed from and after December 31, ~~{2029}~~
14 {2030}.

1 Sec. 2. Arizona commerce authority; study; report

2 A. The Arizona commerce authority shall collaborate with members of
3 ~~the {{oil and gas industry}} {{fuel resiliency task force}}~~ to study ~~{{and~~
4 ~~develop recommendations on}}~~ all of the following:

5 1. The ~~{{impact of and}}~~ process for ~~{{the repeal of this state's}}~~
6 ~~{{revising the state implementation plan for the 2015 national ambient air~~
7 ~~quality standards for the Phoenix-Mesa nonattainment area}}~~ cleaner
8 ~~burning gasoline blend{{, including an evaluation of potential alternative~~
9 ~~lower cost blends for}}~~ ~~{{program and the potential impact on gas prices,~~
10 ~~motor fuel supplies and air quality in}}~~ this state ~~{{by revising the~~
11 ~~state implementation plan}}~~.

12 2. The construction of additional refined products
13 ~~pipelines{{, refineries and storage capacities}}~~ in this state ~~{{and~~
14 ~~establishment of a strategic oil and gas reserve in}}~~ ~~{{to support the~~
15 ~~stability and resiliency of the fuel supply of}}~~ this state.

16 ~~{{3. The opportunity to construct one or more potential refineries~~
17 ~~in this state, including restarting and reevaluating, a proposed oil~~
18 ~~refinery in Yuma county.}}~~

19 ~~{{3. The availability of potential alternative~~
20 ~~lower-production-cost fuel blends that could be sold in this state and the~~
21 ~~potential states or producers that could supply the alternative fuel.}}~~

22 B. The Arizona commerce authority shall meet at least three times
23 between the effective date of this act and the date of the final report
24 deadline in subsection C of this section with the chairpersons of the
25 senate's natural resources committee and the house of representative's
26 natural resources, energy and water committee, or their successor
27 committees, to provide status updates on the price of fuel and gas in this
28 state and the progress of the study ~~{{and recommendations}}~~ required by
29 subsection A of this section.

30 C. On or before ~~{{October 1, 2026}}~~ ~~{{September 30, 2029}}~~, the
31 Arizona commerce authority shall submit a report on findings related to
32 the study prescribed in subsection A of this section and any
33 ~~{{legislative}}~~ recommendations to the governor, the president of the
34 senate and the speaker of the house of representatives and shall provide a
35 copy of this report to the secretary of state. ~~{{The report must contain~~
36 ~~at least all of the following:~~

37 1. The minutes of the fuel resiliency task force meetings.

38 2. The names, titles and employers of each federal official and
39 member of the oil and gas industry that the task force consulted with in
40 developing the recommendations and the nature and extent of the
41 consultation.

42 3. Recommendations for action on each item listed in subsection A
43 of this section, including recommendations for executive action,
44 legislative action and private sector action.

45 4. A description of the areas of agreement or disagreement of the
46 recommendations between individuals with whom the Arizona commerce
47 authority consulted.}}

1 <<Sec. 3. Fuel resiliency task force; membership; duties; report;
2 delayed repeal
3 [A. The fuel resiliency task force is established in the Arizona
4 commerce authority and consists of the following members:
5 1. The chief executive officer of the Arizona commerce authority or
6 the chief executive officer's designee. {{The chief executive officer of
7 the Arizona commerce authority, or the chief executive officer's designee,
8 shall serve as the chairperson of the task force.}}
9 2. The director of the division of emergency management within the
10 department of emergency and military affairs or the director's designee.
11 3. The {{associate}} director of {{the weights and measures
12 services division of}} the Arizona department of agriculture or the
13 {{associate}} director's designee.
14 4. The director of the department of environmental quality or the
15 director's designee.
16 5. The {{executive}} director of {{environmental planning for}} the
17 Maricopa association of governments or the {{executive}} director's
18 designee.
19 ~~{{6. The program administrator of the oil and gas conservation~~
20 ~~commission or the program administrator's designee.~~
21 ~~7. The head of the pipeline safety division of the corporation~~
22 ~~commission or the head's designee.~~
23 ~~8. The director of the department of transportation or the~~
24 ~~director's designee.~~
25 ~~9. The state land commissioner or the commissioner's designee.~~
26 ~~10. The governor or the governor's designee.~~
27 ~~11. The speaker of the house of representatives or the speaker's~~
28 ~~designee.~~
29 ~~12. The president of the senate or the president's designee.~~
30 ~~13. The minority leader of the house of representatives or the~~
31 ~~minority leader's designee.~~
32 ~~14. The minority leader of the senate or the minority leader's~~
33 ~~designee.~~
34 ~~15. The head of the Arizona petroleum marketers association or the~~
35 ~~head's designee.~~
36 ~~16. The president of the Arizona trucking association or the~~
37 ~~president's designee.~~
38 ~~17. The executive director of the Arizona rock products association~~
39 ~~or the executive director's designee.~~
40 ~~18. The president of the Arizona chapter of the associated general~~
41 ~~contractors of America or the president's designee.~~
42 ~~19. The president of the Arizona chamber of commerce or the~~
43 ~~president's designee.~~
44 ~~20. The head of the western states petroleum association or the~~
45 ~~head's designee.~~
46 ~~21. The president of the Permian basin petroleum association or the~~
47 ~~president's designee.~~
48 ~~22. The president of the New Mexico oil and gas association or the~~
49 ~~president's designee.~~

1 ~~23. The president of the Texas oil and gas association or the~~
2 ~~president's designee.~~
3 ~~24. The president of the four corners chapter of the American~~
4 ~~petroleum institute or the president's designee.~~
5 ~~25. The president of the Permian basin chapter of the American~~
6 ~~petroleum institute or the president's designee.~~
7 ~~26. The head of the American fuel and petrochemical manufacturers~~
8 ~~or the head's designee.~~
9 ~~27. The president of the Utah petroleum association or the~~
10 ~~president's designee.~~
11 ~~28. The president of the Colorado petroleum association or the~~
12 ~~president's designee.~~
13 ~~29. The president of the Navajo nation oil and gas company or the~~
14 ~~president's designee.}}~~
15 ~~{{6. The executive director of the governor's office of resiliency~~
16 ~~or the executive director's designee.~~
17 ~~7. The chief executive officer of the western states petroleum~~
18 ~~association or the chief executive officer's designee.~~
19 ~~8. The executive director of the Arizona petroleum marketers~~
20 ~~association or the executive director's designee.~~
21 ~~9. The Kinder Morgan Phoenix terminal manager or the terminal~~
22 ~~manager's designee.~~
23 ~~10. The aviation director for the city of Phoenix or the aviation~~
24 ~~director's designee.}}~~
25 B. The Arizona commerce authority shall {{do both of the following:
26 1.}} Provide meeting space and staff support as requested by the
27 task force.
28 ~~{{2. Keep minutes of each meeting of the task force.}}~~
29 C. The task force shall:
30 1. Meet at least quarterly.
31 ~~{{2. Engage with interested stakeholders, including state, regional~~
32 ~~and federal stakeholders.~~
33 ~~3. Identify options to expand infrastructure and partnership~~
34 ~~opportunities that support the stability of the fuel supply of this state.~~
35 ~~4. Evaluate the following and the expected impact on this state:~~
36 ~~(a) The use of alternative lower-cost fuel blends in this state.~~
37 ~~(b) The construction of additional refined products pipelines in~~
38 ~~this state.~~
39 ~~(c) The construction of one or more refineries in this state.~~
40 ~~(d) The establishment of a strategic oil and gas reserve in this~~
41 ~~state.~~
42 ~~5. Keep minutes of each meeting of the task force.~~
43 ~~6.}}~~
44 ~~{{2. Study and develop recommendations on the items prescribed in~~
45 ~~section 2, subsection A of this act.~~
46 ~~3. Convene with federal officials, members of the oil and gas~~
47 ~~industry in the United States, subject matter experts as determined by the~~
48 ~~task force and all of the following on the items prescribed in section 2,~~
49 ~~subsection A of this act:~~

1 (a) Refinery operators.
2 (b) The state energy offices in other states within petroleum
3 administrative defense districts three, four and five.
4 (c) The Texas oil and gas association.
5 (d) The New Mexico oil and gas association.
6 (e) The Utah petroleum association.
7 (f) The Colorado petroleum association.
8 (g) The Permian basin petroleum association.
9 (h) The American fuel and petrochemical manufacturers.
10 (i) The Navajo nation oil and gas company.
11 (j) The national tribal energy association.
12 4.}} On or before September 30, {{2028,}} {{2029, collaborate with
13 the Arizona commerce authority to}} submit a report of the task force's
14 findings and recommendations {{to the governor, the president of the
15 senate and the speaker of the house of representatives and shall provide a
16 copy of this report to the secretary of state. The report must contain
17 all of the following:
18 (a) The minutes of the task force, including the stated positions
19 of each member, and the attendance records of each meeting.
20 (b) Recommendations for executive action.
21 (c) Recommendations for legislative action.
22 (d) Recommendations for private sector action.
23 (e) Areas of agreements and disagreements in the recommendations.}}
24 {{as provided in section 2 of this act.}}
25 D. This section is repealed from and after December 31, {{2028}}
26 {{2030}}.]>>

27 Enroll and engross to conform
28 Amend title to conform

THOMAS "T.J." SHOPE

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